

“scrip” which is redeemable at the pleasure of the directors. This “scrip” is an unnecessary expression in separate form of a right that the common stock possesses inherently, *viz.*, to receive future dividends when the directors see fit to pay them.⁹ Similarly these option warrants attached to original issues of common stock are a superfluous expression of the stockholders’ inherent right to participate in future stock offerings.¹⁰

A further study of the unwholesome implications of the warrant device is integrated with two broader lines of inquiry into financial practices—the first relating to the price paid by the public for the financing and management of business; the second relating to that group of manipulative and dangerous corporate practices referred to as “pyramiding.” These aspects of security analysis will be considered in the ensuing chapters.

⁹ Cities Service Company paid dividends in scrip of this kind between 1921 and 1925, redeeming it in the latter year. Since its value depended almost entirely on the whim of the directors, it was the sort of speculative medium that gives an enormous advantage to insiders. Gas Securities Company, a subsidiary of Cities Service, paid dividends in scrip of this kind during 1933.

¹⁰ For a recent example of this species of financing see offering of Berkey and Gay Furniture Company common stock and warrants in January 1936.